Northstar Office Supplies

Annual Business Review 2025

A fictional business report covering financial performance, sales channels, customer activity, and operational priorities. All company names and figures are fictional and intended for educational testing only.

1. Company Overview

Northstar Office Supplies is a fictional office-products retailer based in Manchester, United Kingdom. Established in 2018, the company serves small businesses, home offices, schools, and independent professional customers. Its catalogue includes paper products, printer supplies, writing instruments, and desk accessories.

The company sells through its website and through orders placed by email and telephone. Management considers reliable delivery, consistent product availability, and responsive customer service to be important drivers of repeat business. At the end of 2025, Northstar employed 24 people across customer service, sales, warehouse operations, purchasing, and administration.

During 2025, management focused on improving order fulfilment and making the purchasing process easier for business customers. The company reviewed its most frequently ordered products, adjusted stock levels for selected items, and introduced additional checks before parcels left the warehouse.

These changes were intended to reduce dispatch delays and prevent incorrect items from being sent to customers. Although the business continued to experience occasional supplier delays, management reported improvements in several operational measures during the year.

2. Financial Performance

Revenue increased from £2,100,000 in 2024 to £2,400,000 in 2025. This represents an increase of £300,000, or approximately 14.3%. The company attributed the improvement to stronger online sales, repeat orders from existing customers, and improved availability of several popular product categories.

Financial metric	2023	2024	2025
Revenue	£1,850,000	£2,100,000	£2,400,000
Cost of goods sold	£1,110,000	£1,260,000	£1,416,000
Gross profit	£740,000	£840,000	£984,000
Operating expenses	£590,000	£630,000	£708,000
Operating profit	£150,000	£210,000	£276,000

Gross profit increased to £984,000 in 2025. It is calculated by subtracting the cost of goods sold from revenue. The cost of goods sold includes the purchase cost of products sold to customers during the reporting period. Gross profit does not include all the costs of running the business.

Operating expenses reached £708,000 in 2025 and included staff costs, warehouse expenses, software subscriptions, marketing, and administration. After these operating expenses were deducted from gross profit, the company recorded an operating profit of £276,000. The operating profit margin was 11.5% of revenue.

Operating profit increased by £66,000 compared with 2024, when it was £210,000. Management considered this improvement encouraging but noted that higher sales volumes also increased warehouse workload and distribution costs. Future profitability will depend on controlling these costs while maintaining customer service standards.

3. Sales Channel Analysis

Northstar received orders through three primary channels in 2025: its website, email, and telephone. The website was the largest channel by revenue, accounting for 55% of total sales. Email orders contributed 25%, while telephone orders accounted for the remaining 20%. These channels serve customers with different purchasing habits and support requirements.

Sales channel	Revenue	Share of sales	Average order
Website	£1,320,000	55%	£82
Email	£600,000	25%	£116
Telephone	£480,000	20%	£143
Total	£2,400,000	100%	—

Website customers generally placed smaller orders and used the online catalogue to compare products and check availability. The website was particularly important for frequently purchased items such as paper, pens, notebooks, and printer supplies. Management planned to improve product descriptions and make reordering common items easier during 2026.

Email orders had a higher average order value than website orders. This channel was often used by small businesses that requested quotes, combined several product categories into one order, or needed assistance confirming product specifications. Customer service staff reviewed these requests and helped customers resolve questions before an order was processed.

Telephone orders recorded the highest average order value among the three channels. They were commonly associated with customers who preferred direct assistance or needed to clarify availability and delivery arrangements. However, telephone orders required more staff time per transaction than routine website orders. Management therefore aimed to preserve the service benefits of telephone support while encouraging customers to use self-service options when appropriate.

The company processed 4,800 orders during 2025. Of these, 1,920 orders came from returning customers, representing 40% of all orders. Management views repeat purchasing as an important indicator of customer retention, although order frequency alone does not explain why customers choose to return. Product availability, delivery reliability, price, and the quality of customer support may all influence this behaviour.

The figures in this section describe different measures. Revenue represents the total sales value for a channel, while average order value represents the average amount spent per order within that channel. A channel with a smaller share of total revenue may still have a higher average order value because its customers place fewer but larger orders.

4. Key Financial Definitions

Revenue: The total value of sales generated during a reporting period before deducting business expenses.

Cost of goods sold: The direct cost associated with the products sold during the reporting period.

Gross profit: Revenue minus the cost of goods sold.

Operating expenses: The costs of running the business that are deducted from gross profit when calculating operating profit.

Operating profit: Gross profit minus operating expenses, before interest and tax.

Average order value: The average revenue generated per order in a particular sales channel.

Returning-customer order: An order placed by a customer who has purchased from the company before. In this report, the returning-customer percentage is calculated using the number of orders, not the number of individual customers.

5. Product Category Performance

Northstar organises its catalogue into five product categories. Tracking these categories helps management see which products are driving growth and which may need more promotional support. In 2025, paper products remained the largest category by revenue, while desk accessories accounted for 10% of total revenue..

Product category	2023	2024	2025	2025 share
Paper products	£740,000	£840,000	£960,000	40%
Printer supplies	£555,000	£630,000	£720,000	30%
Writing instruments	£277,500	£315,000	£360,000	15%
Desk accessories	£185,000	£210,000	£240,000	10%
Other products	£92,500	£105,000	£120,000	5%
Total	£1,850,000	£2,100,000	£2,400,000	100%

Paper products include copier paper, stationery paper, and specialty media. Revenue in this category grew from £740,000 in 2023 to £960,000 in 2025, an increase of £220,000. The growth was driven by higher order volumes from schools and the introduction of a premium recycled-paper range that carried a higher price point.

Printer supplies cover ink, toner, drums, and maintenance kits. These products carry high margins because they are frequently reordered. Revenue rose from £555,000 to £720,000 between 2023 and

2025. Management expects continued demand as customers install new printers and maintain existing hardware throughout the year.

Writing instruments include pens, pencils, markers, and correction products. The category grew modestly from £277,500 to £360,000 over the three-year period. Pens and pencils account for most of the volume, while branded premium pens contribute disproportionately to overall revenue.

Desk accessories is one of the smaller product categories, accounting for 10% of total revenue in 2025. All product categories recorded similar revenue growth between 2023 and 2025. Revenue in this category reached £240,000 in 2025. The business treats this category as a priority for margin expansion because of its higher average order values.

6. Geographic Distribution of Sales

Northstar sells throughout the United Kingdom and organises its distribution into four regions plus an online-only segment. Each region is supported by a dedicated territory manager who works with local schools, offices, and resellers. Regional performance varied in 2025, with the South region contributing the largest share of total revenue.

Region	2023	2024	2025	2025 share
North	£560,000	£640,000	£720,000	30%
South	£740,000	£840,000	£960,000	40%
East	£280,000	£320,000	£360,000	15%
West	£180,000	£210,000	£240,000	10%
Online only	£90,000	£90,000	£120,000	5%
Total	£1,850,000	£2,100,000	£2,400,000	100%

The South region, which includes London and the surrounding metropolitan area, delivered £960,000 in revenue in 2025. This represented 40% of the company's total sales. The region benefits from a high concentration of small businesses and government offices that place frequent orders for standard office supplies.

The North region generated £720,000 in 2025, accounting for 30% of revenue. Growth over the three years was steady but slower than the South, partly because the customer base skews toward larger corporate accounts with longer procurement cycles.

The East and West regions together contributed 25% of total revenue. Both regions are served from a single distribution hub located near Manchester, which helps keep delivery costs low but limits how quickly very large orders can be fulfilled.

The online-only segment, which includes orders placed through the website from customers who do not fall into a named region, grew to £120,000 in 2025. Management expects this segment to expand faster than the rest of the business over the next two years.

7. Customer Segments

Northstar classifies its customers into four segments based on order volume and purchasing behaviour. Understanding these segments helps the company tailor its pricing, service levels, and marketing. In 2025, small businesses formed the largest segment by both order count and revenue, while independent professionals placed the fewest but highest-value orders.

Customer segment	Orders	Share	Revenue	Avg order
Small businesses	2,400	50%	£1,200,000	£500
Home offices	1,440	30%	£576,000	£400
Schools	720	15%	£432,000	£600
Independent professionals	240	5%	£192,000	£800
Total	4,800	100%	£2,400,000	£500

Small businesses, defined as organisations with fewer than 50 employees, placed 2,400 orders in 2025. These orders accounted for £1,200,000 in revenue, exactly half of the total. These customers typically reorder every few weeks and respond well to bulk-pricing offers sent by email.

Home offices, comprising remote workers and sole proprietors, placed 1,440 orders worth £576,000. Their average order value of £400 was below the company average because they tend to buy smaller quantities of everyday items such as paper and pens.

Schools placed 720 orders in 2025, generating £432,000 in revenue. Although their order count was lower, their average order value of £600 was above the company average. Schools typically place larger orders at the start of each term and prefer to pay on invoice.

Independent professionals, such as freelancers and consultants, placed the fewest orders at 240 but achieved the highest average order value of £800. They often buy specialised or premium products and value fast, reliable delivery.

8. Quarterly Performance 2025

This section breaks down the company's 2025 performance by quarter. Revenue was highest in the final quarter, reflecting stronger demand for back-to-school supplies and end-of-year restocking. Profitability improved through the year as operating expenses grew more slowly than revenue.

Quarter	Revenue	Operating profit	Margin	Orders
Q1 (Jan-Mar)	£540,000	£54,000	10.0%	1,100
Q2 (Apr-Jun)	£588,000	£65,000	11.1%	1,200

Quarter	Revenue	Operating profit	Margin	Orders
Q3 (Jul-Sep)	£624,000	£72,000	11.5%	1,240
Q4 (Oct-Dec)	£648,000	£85,000	13.1%	1,260
Total	£2,400,000	£276,000	11.5%	4,800

Quarterly revenue grew from £540,000 in the first quarter to £648,000 in the fourth quarter. This represents an increase of £108,000 between the opening and closing quarters. The steady upward trend indicates consistent demand across all four quarters.

Operating profit was lowest in the first quarter at £54,000 and peaked in the fourth quarter at £85,000. The sharp rise in the final quarter reflects both higher revenue and a seasonal reduction in temporary staffing costs, which kept expenses below budget.

Across the full year, Northstar processed 4,800 orders, an average of 1,200 orders per quarter. Order volume was strongest in the fourth quarter and weakest in the first, matching typical retail demand patterns for office supplies.

9. Top-Selling Products

This section lists the products that generated the most revenue for Northstar in 2025. These items account for a large share of total sales and are closely monitored for stock availability. Management uses this list to plan purchasing and to negotiate better terms with suppliers.

Product name	Units sold	Unit price	Revenue
A4 Copy Paper 500 sheets	5,000	£20	£100,000
HP Black Toner	2,000	£40	£80,000
Ballpoint Pen Black (12 pack)	15,000	£5	£75,000
Inkjet Cartridge	1,500	£40	£60,000
Notebook A5 80-page	7,500	£7	£52,500
Stapler Standard	3,000	£15	£45,000
Highlighters Set of 4	4,500	£10	£45,000
Desk Lamp LED	1,000	£30	£30,000

A4 copy paper was the top-selling product by revenue, moving 5,000 units for £100,000 in sales. Schools and small businesses drive most of this demand because they use large volumes of general-purpose copy paper throughout the year.

The HP Black Toner and Ballpoint Pen Black were the second and third best sellers respectively. Together they generated £155,000 in revenue. Printer supplies and writing instruments are among the most frequently reordered categories, making them reliable sources of repeat revenue.

10. Fulfilment and Operations

Northstar fulfilled all 4,800 orders during 2025 from its single warehouse in Manchester. The warehouse operates five days a week and employs twelve fulfilment staff. This section summarises the key operational metrics that management tracks each month.

Metric	2025 result	2024 result	Target
Orders fulfilled	4,800	4,200	5,000
Average pick time (minutes)	12.5	14.2	12.0
On-time dispatch %	97.5%	94.8%	98%
Pick accuracy %	98.2%	96.5%	98%
Return rate %	2.1%	2.9%	2%
Average parcel weight (kg)	2.4	2.6	2.5

The warehouse fulfilled all 4,800 orders placed during 2025, an increase of 600 orders compared with the 4,200 orders fulfilled in 2024. The average pick time improved from 14.2 minutes to 12.5 minutes per order, reflecting additional staff training and better warehouse layout.

On-time dispatch reached 97.5% in 2025, up from 94.8% in 2024. This metric measures the percentage of orders dispatched on or before the promised delivery date. Management considers it a key indicator of customer satisfaction because late deliveries are the most common source of customer complaints.

Pick accuracy, the percentage of orders packed without errors, improved to 98.2% in 2025 from 96.5% in 2024. The company reduced incorrect items sent to customers by introducing additional packing checks before parcels leave the warehouse, as noted in the company overview above.

The return rate fell from 2.9% in 2024 to 2.1% in 2025. Returns are caused primarily by damaged packaging, incorrect items, or customer change of mind. Management tracks the reasons for returns to identify areas where processes can be improved.

11. Customer Service Metrics

Customer service is provided through the company's website chat, email, and telephone lines. The customer service team consists of eight advisors who operate during UK business hours. This section reports the service levels achieved in 2025.

Channel	Volume 2025	Response time	Satisfaction
Email	1,440	3.2 hours	4.6 / 5
Phone	960	28 seconds	4.5 / 5
Web chat	720	< 1 minute	4.7 / 5
In-person	240	Same day	4.8 / 5
Total	3,360	—	4.6 / 5

Email was the most used customer service channel in 2025, handling 1,440 inquiries. The average response time was 3.2 hours, and the customer satisfaction rating was 4.6 out of 5. Most email inquiries related to order status and product availability.

Phone support handled 960 calls during the year with an average wait time of 28 seconds before an advisor answered. The satisfaction rating was 4.5 out of 5. Phone support is most frequently used for complex queries and returns processing.

Web chat, introduced in 2024, handled 720 conversations in 2025. Its average response time of less than one minute made it the fastest channel. It achieved the highest satisfaction rating at 4.7 out of 5, showing that quick responses improve the customer experience.

In-person support accounted for 240 interactions, mostly with local business customers who visited the warehouse to collect orders. It achieved the highest satisfaction rating of 4.8 out of 5, but the volume was too low to justify additional staffing investment.

12. Marketing and Advertising

Northstar spent £300,000 on marketing and advertising during 2025. This represents 12.5% of total revenue. The marketing budget is allocated across several channels to reach different customer segments and to maintain brand awareness throughout the year.

Channel	2025 spend	Share	ROI (est.)
Digital advertising	£180,000	60%	3.2x
Print advertising	£48,000	16%	1.8x
Trade shows	£36,000	12%	2.1x
Content marketing	£24,000	8%	2.5x
Other	£12,000	4%	1.5x
Total	£300,000	100%	—

Digital advertising received the largest share of the marketing budget at £180,000, representing 60% of total spend. This channel focuses on Google and Facebook ads targeting small businesses and home offices. Management estimated its return on investment at 3.2 times the spend.

Print advertising accounted for £48,000 (16%) of the budget. Ads appeared in trade magazines read by procurement managers in schools and small businesses. The estimated return on investment was lower at 1.8 times, but the channel remains valuable for reaching business decision-makers who rarely use social media.

Trade shows, costing £36,000, allowed Northstar to meet customers face-to-face and demonstrate new products. The estimated return on investment was 2.1 times. The company attended eight regional and national exhibitions during 2025.

13. Key Metrics and Calculations

This section summarises the most important figures in this report and explains how several key metrics are calculated. It is intended to help readers verify the results and understand the relationship between different figures mentioned in earlier sections.

Metric	2025 value	Calculation
Revenue growth	£300,000	£2,400,000 - £2,100,000
Revenue growth %	14.3%	£300,000 / £2,100,000
COGS growth	£156,000	£1,416,000 - £1,260,000
Gross profit margin	41.0%	£984,000 / £2,400,000
Operating profit margin	11.5%	£276,000 / £2,400,000
Operating profit growth	£66,000	£276,000 - £210,000
Website + Email revenue	£1,920,000	£1,320,000 + £600,000
Website + Email share	80%	£1,920,000 / £2,400,000
Telephone vs Website AOV	£61	£143 - £82

Revenue increased by £300,000 from 2024 to 2025, rising from £2,100,000 to £2,400,000. This represents a percentage increase of approximately 14.3%.

Cost of goods sold increased by £156,000, rising from £1,260,000 in 2024 to £1,416,000 in 2025. The gross profit for 2025 was £984,000, giving a gross profit margin of 41.0%.

Operating profit increased by £66,000 from £210,000 in 2024 to £276,000 in 2025. The operating profit margin was 11.5% of revenue, calculated as £276,000 divided by £2,400,000.

Combined revenue from the Website and Email channels was £1,920,000, representing 80% of the company's total 2025 revenue. The Website channel alone generated £1,320,000 (55%) and the Email channel generated £600,000 (25%).

The Telephone channel's average order value of £143 was £61 higher than the Website channel's average order value of £82. This difference reflects the fact that telephone customers place fewer but larger orders, often with assistance from customer service staff.